

	Account #	Description	Debit	Credit
	1000	Cash-Checking	\$2,500	
	1100	Accounts Receivable		\$2,500

The Accounts Receivable account is essentially a holding bucket for IOUs. In this approach, if you made the sale in December, you would report it as income this year and the following year would simply move the payment from the Accounts Receivable account to checking—without having had any impact on revenue.



Note: One question you might have is, how do you deal with non-payment (i.e., when a customer defaults on his bill)? Such a case is called a **bad debt** and becomes an expense when the debt is declared bad. This expense will allow you to offset the income that you recorded even if the income came in a prior period. We will cover handling bad debt in a later chapter.

You can also purchase items needed and pay for them on credit by using the Accounts Payable account. For example, you can purchase shipping supplies and put them on your credit card. The journal entry might look like this:

	Account #	Description	Debit	Credit
	5200	Shipping Supplies	\$750	
	2100	Accounts Payable—VISA Card		\$750

When you pay the credit off, you will reduce cash (by crediting it) and reduce the Accounts Payable (your debt to VISA) by debiting it:

	Account #	Description	Debit	Credit
	1000	Cash-Checking		\$750
	2100	Accounts Payable—VISA Card	\$750	

Generally, you can have multiple Accounts Payable accounts such as expenses, sales tax collected (yep, when you charge sales tax, you incur a debt to the government), possibly loans payable for that computer purchase, etc.

The Accounts Payable is simply a method to allow you to put the expenses within the same period as when the sale occurs, regardless of when the cash is actually paid out.